Contoso Ltd. · Company policy

Contract Review Checklist

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1. Review and Approval Criteria

Contract value	Required procedure
Under KRW 50 million	Department head approval (Legal Team review is optional)
KRW 50 million or more, under KRW 500 million	Legal Team review required
KRW 500 million or more	Legal Team review + CFO approval

2. Required Clauses to Check

Item	Contoso standard
Payment	Within 60 days after acceptance (for subcontracting transactions, comply with the statutory deadline)
Liquidated damages	0.1% of the contract amount per day of delay, capped at 10% of the contract amount
Defect repair	12 months after acceptance; the defect repair bond is 5% of the contract amount
Damages	Capped at 100% of the contract amount (excluding willful misconduct and gross negligence)
Intellectual property	As a rule, deliverables belong to Contoso
Confidentiality	Remains in force for 3 years after the contract ends
Personal data	If processing is outsourced, a separate outsourcing agreement and a security review of the processor are required
Governing law and jurisdiction	Laws of the Republic of Korea; Seoul Central District Court

3. Clauses Requiring Caution

- Clauses allowing unilateral unit-price reductions, or providing for unlimited damages
- Foreign governing-law or foreign arbitration clauses
- Automatic renewal clauses: register the termination notice deadline (60 days in advance) in your calendar.
- Clauses that allow re-subcontracting without restriction